

Multiple Choice (10 marks)

1. Which of the following is equal to one?
 - (a) The elasticity of the long-run aggregate supply curve
 - (b) The spending (or expenditure) multiplier
 - (c) The investment multiplier
 - (d) The balanced budget multiplier
 - (e) The aggregate demand multiplier
2. Which of the following could cause the aggregate demand curve to shift to the left?
 - (a) An increase in government spending.
 - (b) A decrease in interest rates.
 - (c) Contractionary demand management policies.
 - (d) An increase in consumer confidence.
 - (e) An increase in the money supply.
3. In 2004 the United States had a trade deficit of \$603 billion; therefore
 - (a) The value of the dollar increased significantly.
 - (b) The United States' GDP decreased by \$603 billion.
 - (c) The United States imported exactly \$603 billion worth of goods.
 - (d) The United States had a trade surplus.
 - (e) Americans consumed more than they produced.
4. Which of the following is true?
 - (a) Average total cost = total fixed costs plus total variable costs.
 - (b) Average total cost = total costs divided by the marginal cost of production.
 - (c) Average total cost = total variable costs divided by the number of units produced.
 - (d) Average total cost = total fixed costs divided by the number of units produced.
 - (e) Average total cost = average variable cost plus marginal cost.
5. For a given level of government spending the federal government usually experiences a budget_____during economic_____and a budget _____during economic_____.
 - (a) surplus expansion surplus expansion
 - (b) deficit recession deficit expansion
 - (c) surplus expansion deficit recession
 - (d) deficit expansion deficit recession
 - (e) surplus expansion surplus recession

True / False (10 marks)

Answer True or False

6. True or False: The a and c coefficients must be significant for bi-directional feedback to be established in a VAR model.
7. True or False: A stronger stock market typically causes a decrease in the consumption function while increasing aggregate demand.
8. True or False: The spending multiplier effect is enhanced when the price level remains constant during a decrease in aggregate demand.
9. True or False: A decrease in the price of a particular product will lead to a decrease in the quantity demanded by consumers.
10. True or False: Investment is always greater than savings in a private closed economy.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the implications of a bank acquiring an additional \$1 in deposits without a required reserve ratio, and analyze how this could lead to an infinite expansion of the money supply.
12. Discuss the impact of trade between an industrial country abundant in capital and a rural country abundant in land on the prices of these resources, considering comparative advantage.

End of Paper